



**GROWTH
REQUIRES
INVESTMENT
IN INFRA-
STRUCTURE**

| POWER

The UPA in its term has only added 34,774.31 MW. While India needs 2.1 billion units, the supply is 1.85 billion units. The peak power shortage is up from 11.4 per cent in 2004-05 to 18.1 per cent in 2008-09.

Hyundai Motors, despite being the country's largest exporter, has tied up with Bank of Baroda to ensure that its customers get more finance options offering rationalised interest rates. Clearing of inventories is part of a bigger problem, that of an overall demand slowdown. CII President Venu Srinivasan says the downturn in manufacturing is worrisome with more than 78 per cent of the sector in low or negative growth category. "Lack of demand and high interest rate have put Indian manufacturing at about 15 per cent cost disadvantage to other emerging economies," rues the chief of TVS Motor Company.

Exporters, from gems and jewellery to handicrafts, too are feeling the pinch of having to compete with cheaper and sophisticated exports from China, and forking out hefty interest payments. That too at a time

| ROADS

The UPA inherited the mammoth NHDP from the NDA. A part of the remaining 25 per cent of Golden Quadrilateral is still unfinished after eight years. Of NHDP's 32,939 km, barely 9,463 km stands ready.

when orders have been shrinking from the US and Europe, plunging exports to a record dip of 21 per cent in February. About 61 per cent of exporters are set for flat growth in 2009-10, says a FICCI survey.

It's not that there are no new pockets of consumption within India for export-oriented units to tap for their goods and raise income. In fact, big manufacturers and exporters are gung-ho about the potential in rural India. But pushing growth requires investment in infrastructure. Big and small businesses both need world-class infrastructure with a pan-India network of roads, ports and supply chains to drive consumption into the heartland and growth.

According to Kirit Parikh of the Planning Commission, an additional 1 per cent of GDP spent on infrastructure leads to a 1 per cent rise in GDP.

| PORTS

The ambitious Rs 55,805-crore National Maritime Development Programme launched in December 2005 featured 276 projects. After four years, only 38 projects have been completed at a cost of Rs 3,989 crore.

Yet, India's investment remains at just 4.6 per cent of the GDP as against the required 7 per cent. So it is not surprising to hear of the National Highway Development Programme, and mega power and port projects lying incomplete for want of funds or cheaper credit. "Of the 200 development proposals received by the India Infrastructure Finance Company, barely 88 have been sanctioned," reveals its chairman S.S. Kohli. Obviously it is not just the code of conduct but general Indian conduct that slows down investment in India.

In the context of the meltdown and abundant pessimism, the Government must ensure effective implementation if India is to avoid the vortex of pessimism. Holding on to the favourite phrase of second fastest economy will be akin to being happy with a consolation prize. ■